complaint

Mr and Mrs D have complained that Hyde Park Insurance Consultants Ltd ('Hyde Park') failed to inform the underwriter of their property insurance policy that the rental property they owned had become unoccupied, and that this resulted in their subsequent claim for theft being declined. Mr and Mrs D also consider that when moving their insurance to a new underwriter in December 2009, Hyde Park arranged inferior cover for them compared to that which they had previously held, and they are unhappy with Hyde Park's general level of service.

background

Hyde Park had acted as an insurance broker for Mr and Mrs D since 2003. In 2009, Hyde Park arranged for the insurance cover for their rental property to be moved from a policy underwritten by underwriter A to one underwritten by underwriter B.

Mr and Mrs D have stated that in August 2010, they rang Hyde Park to confirm that the rental property was no longer occupied due to the unexpected death of their tenant. In April 2011, a burglary took place at the property whilst it remained unoccupied. Underwriter B declined the subsequent claim for theft made under the insurance policy. It stated that it had not been made aware that the property was unoccupied, and that if it had, it would have restricted cover, with losses resulting from theft being excluded.

Mr and Mrs D complained to Hyde Park, stating that the broker had failed to notify underwriter B about the property's unoccupancy in August 2010. Mr and Mrs D have stated that if they had been informed about the limitation of cover that would apply under underwriter B's policy for an unoccupied property, they would have had the opportunity to seek alternative, wider insurance cover elsewhere, specifically designed for long term unoccupied properties. In these circumstances, Mr and Mrs D consider they would have been able to obtain a policy which would have covered the theft that they suffered.

Mr and Mrs D have also suggested that if Hyde Park had left their insurance cover underwritten by underwriter A, they would have retained wider cover when the property became unoccupied, which may have affected the outcome of their theft claim.

Our adjudicator was satisfied that Hyde Park had been informed in August 2010 by Mr and Mrs D that the property was unoccupied, and that the broker had therefore been at fault by failing to confirm this fact to the insurer. However, the adjudicator's view was that this had not prejudiced Mr and Mrs D's position.

The adjudicator confirmed her understanding that once the property had become unoccupied, Mr and Mrs D had decided they wished to sell it. It was not clear how long the property would remain both unoccupied and in Mr and Mrs D's ownership. However, the adjudicator was not persuaded that the consumers would have taken out specialist insurance for a long-term unoccupied property in these circumstances. The adjudicator also concluded that had the insurance cover remained underwritten by underwriter A, the theft claim was unlikely to have been met bearing in mind that the property had been unoccupied for approximately eight months when the burglary occurred.

Mr and Mrs D disagreed with the adjudicator's findings. They explained that once the property had become unoccupied in July 2010, they spent time considering their future plans for it, concluding that they wished to sell it. Mr and Mrs D attempted to sell the property in an auction in October 2010, but when this was unsuccessful, they decided to defer making any further plans about the property's future until early 2011. They expected to either attempt to sell the property again via auction in March 2011, or to refurbish it so that it could be re-let.

Mr and Mrs D maintain that after the sale planned for October 2010 had failed, they would have sought alternative, wider insurance cover, if they had been informed that underwriter B's policy provided limited cover due to the property's unoccupancy. They have highlighted that following the October 2010 auction, they were aware that the property would remain unoccupied for at least four to five months, whether they chose to sell at auction in March 2011 or to refurbish the property.

Mr and Mrs D have explained that they had experienced a burglary at the property in 2005 when it had previously been left unoccupied, that the property is located in an area with a high rate of crime, and that in 2010 a relative suffered a similar burglary to the one they experienced in an empty property. Taking these factors into account, Mr and Mrs D state that had they been aware their insurance policy did not cover theft at unoccupied properties, they would have sought alternative cover that did, regardless of the premium costs involved.

Mr and Mrs D have also commented upon the distress and inconvenience they have suffered as a result of Hyde Park's handling of their insurance affairs.

Hyde Park also disagreed with the adjudicator's findings. It has highlighted that the policy schedule requires notification of unoccupancy to be made in writing. As no written confirmation of the occupancy change was provided by Mr and Mrs D, Hyde Park considers that the consumers were in breach of the policy conditions.

my findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

The policy schedules provided to this office for both the cover underwritten by underwriter A and B confirm in bold print that notification of unoccupancy must be made immediately in writing. Mr and Mrs D do not dispute that they did not provide confirmation of the occupancy alteration in writing in July/August 2010. However, they state that they did contact Hyde Park at this time to confirm this alteration.

Mr and Mrs D obtained copies of correspondence from the wholesale broker which placed the cover with the underwriter indicating that Hyde Park had been made aware by Mr and Mrs D in August 2010 that the property was no longer occupied. Although Hyde Park has highlighted the absence of any *written* notification of this fact, I would agree with the adjudicator's conclusion that the weight of evidence indicates on balance that Mr and Mrs D did make Hyde Park aware of the property's unoccupancy in August 2010. It seems that Hyde Park was then in error by failing to advise Mr and Mrs D to confirm this change in writing. The outcome of this complaint rests upon whether Hyde Park's error led to Mr and Mrs D suffering a financial loss that they would not otherwise have done if Hyde Park had informed the consumers about the effect the change of occupancy would have upon the scope of cover provided by their insurance policy.

Clearly it is difficult to determine now what actions Mr and Mrs D may have taken in the past if they had been informed in August 2010 that unoccupancy at their property significantly limited the insurance cover available under the policy they held. Mr and Mrs D have explained that their property had previously suffered a burglary in 2005 when left unoccupied, that it was located in an area with a high crime rate, and that a relative had experienced a theft in an empty property in 2010 that was similar in nature to the one they later suffered in 2011.

Mr and Mrs D have stated that these factors would have led them to obtain wider insurance cover for their unoccupied property, including cover for theft, if they had been made aware of the limitations to cover that were applicable under underwriter B's policy for empty houses. As examples of the type of policy they state they would have commenced in these circumstances, they have provided details of two specialist insurance policies for long term unoccupied properties. These policies provide the option to choose from three levels of cover, and Mr and Mrs D state that they would have chosen the level providing the widest of these, which includes cover for theft.

In assessing this matter, I am mindful that Mr and Mrs D have explained that after their property became unoccupied in July 2010, they attempted to sell it via auction only three months later, in October 2010. This sale was unsuccessful, and I acknowledge Mr and Mrs D's comments that following this, they decided the earliest date at which they would attempt a further sale at auction would not be until March 2011. They have also explained that at the same time they were considering retaining the property and refurbishing it for future lets.

Whilst I have taken these comments into account, it seems to me that an attempt to sell the property three months after it had become vacant demonstrates that Mr and Mrs D were taking significant steps to dispose of their property rather than retain it. This then casts doubt on whether Mr and Mrs D are likely to have sought specialist insurance for long term unoccupied properties, even if there was to be a period of more than four months after the failed sale in October 2010 before a further sale was potentially attempted.

I also note that the cost of this specialist insurance was considerably higher than the cost of the existing cover. When renewed in December 2010, the annual premium for underwriter B's policy was £250.20. For the level of cover that Mr and Mrs D state they would have chosen under the long term unoccupied property insurance policy, the consumers obtained a quotation detailing an annual premium of £1,101.97. The difference in costs is significant, and in my view is likely to have affected the decision whether to commence such specialist insurance, bearing in mind that the sale of the property was being considered at this time.

Mr and Mrs D have explained why they consider they would have chosen an alternative insurance policy providing greater cover if they had been made aware of the limited cover provided by underwriter B's policy for unoccupied properties. However, I need to assess on the balance of probabilities what actions if any I consider it is likely Mr and Mrs D would have taken regarding their insurance arrangements with this knowledge in August 2010, bearing in mind that this was before they unfortunately suffered a burglary at the property.

Mr and Mrs D attempted to sell the property in October 2010, and were still considering this option after this date. Taking into account the premium costs of long term unoccupied property insurance, I am not persuaded that the consumers would have sought wider cover if they had been aware of the limits of the cover that underwriter B's policy provided for unoccupied properties. As a consequence, my view on balance is that Hyde Park's error in August 2010 when it failed to pass information regarding the change of occupancy to the underwriter did not prejudice Mr and Mrs D's position.

Mr and Mrs D have questioned whether their claim for theft may have been covered if Hyde Park had left their insurance underwritten by underwriter A. As I understand it, underwriter A's policy was not one designed for properties left unoccupied on a long term basis. On balance I would agree with the adjudicator that bearing in mind the property had been unoccupied for approximately eight months when the burglary occurred, it is unlikely that a claim would have been successful if cover had remained underwritten by underwriter A.

As stated previously, my view is that Hyde Park was in error when failing to inform the underwriter about the change in occupancy status at the property. It also seems that our adjudicator has had difficulties obtaining clarification from Hyde Park about the contact that took place between Mr and Mrs D and the business regarding the occupancy change in August 2010. My view is that Hyde Park's administration did fail in this case.

However, whilst I acknowledge Mr and Mrs D's comments that they have been caused distress and inconvenience in this matter, it seems to me that this is more likely the result of the burglary and consequent damage that occurred. Taking into account my assessment above that Hyde Park's error did not prejudice Mr and Mrs D's position, my view is that the business' error did not in itself cause Mr and Mrs D material distress and inconvenience that should result in a compensation payment being due. Whilst I am sorry to learn of the theft that Mr and Mrs D suffered at their property, my conclusion is that Hyde Park should not be required to make any payment of compensation in this case.

my final decision

My final decision is that I do not uphold this complaint, and I make no award.

John Swain
ombudsman